

Chapter - 1

Economic Environment

1. Concept of Economic Environment

Economic environment is a combination of the words economic and environment. Economic refers to all activities related to the production, exchange, and consumption of goods and services. Environment refers to all external economic forces and conditions that influence the functioning of a business. It includes factors such as economic growth, inflation, interest rate, income, employment, fiscal policy and monetary policy. These factors create opportunities as well as challenges for business organisation and are generally beyond the control of management.

Definitions of Economic Environment

Rayard O Wheeler: "The total of all things external to firms and industries, which affect their organisation and operation."

Keith Davis defines business environment in his famous "The challenges of business" as "Economic environment is the aggregate of all conditions, events and influences that surround and affect it."

Thus, Economic Environment encompasses all those factors (internal and external) that affect a company's operations and include strengths, weaknesses, internal power, etc.

ships, orientations of the organisation, nature of economy and economic conditions, social cultural factors, demographic trends, natural factors, global trends and cross-border-development, clients and suppliers, technological developments, laws and government activities.

Nature of Economic Environment

The business environment possesses several characteristics that influence the functioning and decision-making of an organisation. The major characteristics are as follows:

1. Interdependence

The business environment consists of economic, social, political, legal, technological, and other factors. These factors are interrelated, and a change in one factor often affects the other.

2. Dynamic Nature

The business environment is dynamic nature because it changes continuously over time due to development in technology, government policies, consumer preferences, and market conditions.

3. Complexity

The business environment comprises numerous internal and external forces that interact simultaneously, making complex business decisions.

4. Uncertainty

Future business conditions cannot be predicted with complete accuracy because unexpected events may occur at any time.

5. Multidimensional Nature

The business environment includes various dimensions such as economic, social, political, legal, technological, financial and natural factors, all of which influence business decision.

6. Relativity

The impact of the business environment differs from one country, industry, or organization to another. High interest rates may adversely affect the real estate sector but have a relatively smaller impact on software companies.

7. Opportunity - Oriented

A changing business environment creates new opportunities for growth, innovations, and expansion. The increasing demand for electric vehicles has created new opportunities for battery manufacturers and charging infrastructure companies.

8. Risk and Threat

Environmental changes may also create risks and challenges for business if they fail to adapt. A clothing retailer that does not adopt online selling may lose customers to e-commerce platforms.

9. Need for Continuous Monitoring
Business must regularly observe and analyses environmental changes to make timely decisions and remain competitive. Mobile phones companies continuously monitor customer preferences before introducing new smartphones models.
10. Adaptability and Flexibility
Business organisation must adapt their strategies, policies and operations according to changes in the environment to ensure long-term success. Many restaurants introduced online ordering and home delivery services after the pandemic to meet changing customer needs.

Elements of Economic Environment

1. Internal Environment :- The internal environment refers to the factors that exists within a business organisation. These factors are generally controllable because the company has direct control over them. They determine the firm's strengths, weaknesses, and its ability to respond effectively to environment challenges.
 - a). Corporate Culture and Value System
Persons holding top positions in modern corporate enterprises possess certain values that influence the organisation's policies, ethics, norms, working style, systems, symbols and overall internal environment. This collective behaviour and shared

beliefs from the corporate culture of the organisation.

Example :- Tata Group is known for its strong ethical values, integrity, social responsibility, and employee-oriented culture. These values guide its business decisions and enhance its reputation.

Vision, Mission and Objectives

The vision, mission and objectives of a company provide direction to its activities and guide its priorities, philosophy, strategies and policies. They help employees understand the long-term purpose and goals of the organisation.

Examples :- Google - 'To organize the world's Information'

Top Management Structure

The composition of the Board of Directors and the top management team is a critical factor in the development of a company. These individuals are the highest decision making authorities. Organisations may be professionally managed or family controlled, and this influence their management style and efficiency. Infosys follows a professional management structure with experienced executives and an independent Board of Directors, ensuring transparency and effective governance.

Power Structure

The internal power relationship between the Board of Directors, Chief Executive Officer (CEO), and senior

executives significantly influences the decision making process and organisational effectiveness.

e) Human and Other Resources

The quality of human resources depends on employees' competence, commitment, attitude, skills and motivation. Efficient employees improves productivity, innovations, and organisational performance.

Other resources include financial resources, information systems, and organisational capabilities.

f) Company Image and Brand Equity

A company's Image and brand equity influences customers trust, investor confidence, business partnerships, raising finance, selecting suppliers, and entering into joint ventures. Apple enjoys high brand equity worldwide. Customers willingly pay premium prices because they associate the brand with quality, innovation, and reliability.

g) Physical Resources and Technology

Physical resources includes lands, buildings, machinery, equipment, production capacity, logistic and research and development (R&D) facilities. The level of technology adopted by a company directly affects productivity, product quality, cost efficiency and competitiveness. Tesla uses advanced automation, artificial intelligence and modern manufacturing technology in its factories, enabling efficient production and maintaining a competitive advantage.

in the electric vehical market.

2. External Environment :- It refers to external aspects of the surroundings of business enterprises, which have influence on the functioning of business. It can be categorized into two parts:

1. Micro Economics

Micro or task environment comprises those forces in the immediate vicinity of an organisation that influences its functioning. The micro forces need not necessarily affect all the firms in a particular industry in same way. Some of micro factors may be particular to a firm.

Suppliers

A supplier provides raw material to business. If supplier delay to supply raw material or stop to supply then production of business will be stopped due to lack of raw material supply.

Customers

They are the highly influential as they are the central point of every business success of business largely depends on indentifying the need, desire, tastes liking etc. of a customers.

Market Intermediaries

It includes agents, brokers, who help the company to find customers. This acts as a link

between company and final consumer.

4. Competitors

Activities of a business adjust according to the actions and reactions of competitors.

5. Financial Intermediaries

As business grows; it needs more money for its growth either this money can be obtained by issuing new shares or by borrowing money from financial intermediaries.

6. Public

Any group that has actual or potential interest in the business has its impact on the business. Ex-growth of consumer groups may effect the working of a newly developed business.

(2) **Macro Environment :-** It has major external and uncontrollable factors that influence organisation's decision-making and affect its performance and strategies. When the macro environment is uncontrollable, the success of a company depends on its adaptability to the environment.

1. Economic Environment

Economic environment refers to the overall economic factors like economic philosophy of the country, economic structure, plans, economic policies, controls and regulations etc. The

factors include gross national product, corporate profits, inflation rate, employment, balance of payments, interest rates, consumer income etc.

2. Demographic Environment

It refers to the size, age, growth rate, distribution and characteristics of the population in the country. It includes factors such as population growth, literacy rate, income level, education, occupation and urbanisation. Changes in demographic factors influence consumer demand, labour supply, market size and business decisions.

3. Political Environment

The political environment comprises three organs of the government: the legislature, the executive, and the judiciary. The legislature enacts laws, the executive implements and enforces them, and the judiciary interprets the laws and resolves legal disputes. The political and economic systems of a country are closely interrelated, with each influencing the other. A stable political environment encourages business growth, foreign investment, and international collaborations. Since business decisions are largely influenced by government policies and regulations, frequent changes in these policies create uncertainty and may compel business organisations to modify their strategies, making business operations more challenging.

Social and Culture Environment

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Social responsibility of business is an important force that modern business organizations cannot wriggle out of their duties and responsibilities towards the society. For example - every leather manufacturing or processing unit is made to install pollution prevention system. Culture environment refers to the values, norms, benefits, customs, ethics, goals and other accepted behavioural pattern of people in a country.

5. Technological Environment

In a competitive business environment technology is the key to development. Supported by computerized operations, modern business organisations have succeeded in analyzing customers, minimizing the defects in products, ensuring service at the right time and place, etc. Modern organizations have recognized that right development alone can ensure organisational growth and stability.

6. Legal Environment

It has a great impact on functioning of the organisation as it establishes codes or procedures for various types and aspects of business and deals with deviations or infringement law like bribery, product counterfeiting, gray markets, black markets, consumer deception and tax evasions. Every country has specific business law that guide, regulate and control business activities. In India, important business legislations include the Trade Marks Act, 1999.

the essentials Commodities Act, 1955, and the Consumer Protection Act 2019.

7. Natural Environment (Geographical and ecological environment)

Business cannot fully control natural environment. First the environment is the source of resources as raw material and secondly, it has ~~created~~ caused damage in the process of production.

8. Financial Environment

Business finance is concerned with making decisions about the investments in the business. It includes bond markets, forex markets, stock markets, commodity markets, OTC markets. Real estate markets and cash or spot markets.

9. Global or International Environment

It includes rules and regulations of WTO (World Trade Organisation), IMF (International Monetary fund), WORLD BANK, SAARC (South Asia Associations for Regional Cooperation) and other international bodies which duly effect the business organisations operating their business in any country.

Chapter - 2

Economic Trends in India : An Overview

Part I. Monetary aggregates : old and new measures

A. Old monetary aggregates

Measures	Formula	Coverage / Meaning
M_1 = Narrow money	$M_1 = C + DD + OD$	Currency with the public + demand deposits with banks + other deposits with RBI.
M_2	$M_2 = M_1 + POSD$	M_1 + savings deposits with post office saving banks.
M_3 = Broad money	$M_3 = M_1 + TD$	M_1 + time deposits with the banking systems.
M_4	$M_4 = M_3 + POD$	M_3 + all deposits with post office savings banks, excluding National savings certificates.

B. New Monetary aggregates

Measures	Formula	Coverage / Meaning
$NM_1 = \text{Narrow Money}$	$NM_1 = C + DD + OD$	Same core components as M_1 .
$NM_2 = \text{Intermediate Money}$	$NM_2 = NM_1 + STTD$	Time-liability portion of savings deposits + certificates of deposits issued by banks + term deposits maturing up to one year.
$NM_3 = \text{Broad Money}$	$NM_3 = NM_2 + LTTD + CTF$	Term deposits maturing after one year + call on term funding from financial institutions.
Order	Old Measures	New measures
Liquidity	$M_1 > M_2 > M_3 > M_4$	$NM_1 > NM_2 > NM_3$
Coverage	$M_4 > M_3 > M_2 > M_1$	$NM_3 > NM_2 > NM_1$

Abbreviations: C, currency with the public; DD, Demand deposits; OD, other deposits with RBI; POSD / POD, Post office savings / all deposits; TD, time deposits; STTD / LTTD, short / long term deposits; CTF, call on term funding.

* Introduction :-

Prices indices are important statistical tools used to understand inflation and changes in the general public price level of an economy. In India, the two major price indices are the Consumer Price Index (CPI) and the Wholesale Price Index (WPI).

The Consumer Price Index measures changes in prices paid by household at the retail level. The Wholesale Price Index measures changes in the prices of goods at the wholesale or producer level. Although both indices examine price movements, they differ in their coverage, purpose, weighting system and stage of price measurement.

1. Consumer Price Index

The Consumer Price Index is a statistical measure showing the average change over time in the retail prices of goods and services purchased by households. It measures changes in the cost of maintaining a representative household consumption basket. CPI is therefore commonly described as a cost-of-living indicator and is India's main measure of retail inflation.

When the prices of these goods and services rise, the CPI generally increases. A rise in CPI indicates that households need to spend more

money to purchase the same representative basket of goods and services.

Calculation of CPI

In its simplest form, CPI compares the cost of purchasing a fixed basket of goods and services in the current period with the cost of purchasing the same basket in the base period.

The basic formula is:

$$\text{CPI} = \frac{\text{Cost of basket in the current period}}{\text{Cost of basket in the base period}} \times 100$$

Types of CPI in India

The National Statistical Office under the ministry of statistics and Programme Implementation compiles the following major consumer price indices:

i). CPI Rural

CPI rural measures changes in the retail prices faced by households living in rural areas. The rural basket reflects rural consumption patterns and expenditure priorities.

ii). CPI Urban

CPI urban measures changes in the retail prices faced by households in urban areas. It gives greater representation to urban housing, services, transport and

other urban consumption expenses.

iii). CPI Combined

CPI combined represents the combined price movement for rural and urban households. It is calculated using the appropriate rural and urban weights.

CPI 2024 Series

India revised the CPI base year from 2012 to 2024. The revision was intended to make CPI more representative of current household consumption patterns, reflecting urbanisation, digitalisation, changing price structures and the increasing importance of services.

The expenditure weights of the CPI 2024 series are based on information from the household consumption expenditure survey 2023-24. The index follows the international classification of Individual Consumption According to purpose or COICOP 2018.

Twelve Consumption Divisions

The earlier six broad groups were replaced by twelve consumption divisions.

1. Food and beverages
2. Pan, tobacco and intoxicants

3. Clothing and Footwear
4. Housing, water, electricity, gas and other fuels
5. Furnishings, households equipment and routine household maintenance
6. Health
7. Transport
8. Information and Communication
9. Recreation, sport and culture
10. Education services
11. Restaurants and accommodations services
12. Personal care, social protection and miscellaneous goods and services.

This detailed classification improves the representation of modern consumption and supports international comparison.

Expansion of the CPI Basket

The total number of weighted items increased from 299 to 358.

- Goods increased from 259 to 308.
- Services increased from 40 to 50.

The revised basket gives greater importance to services, digital consumption and emerging household expenditure. Rural ~~home~~ house rent was included for the first time. This improves the measurements of housing expenditure in rural areas.

Expansion of the CPI Basket

Major CPI weights

Under the Combined CPI 2024 series, food and beverages has the highest weight at approximately 36.753%. This means that food-prices changes have a major effect on overall consumer inflation.

The second-highest division is housing, water, electricity, gas and other fuels, with a weight of approximately 17.665%.

Other Important weights includes:

- Transport $\rightarrow 8.796\%$
- Clothing and footwear $\rightarrow 6.383\%$
- Health $\rightarrow 6.100\%$
- Personal care and miscellaneous services $\rightarrow 5.038\%$
- Furnishings and household maintenance $\rightarrow 4.469\%$
- Information and communication $\rightarrow 3.609\%$
- Restaurants and accommodation $\rightarrow 3.348\%$
- Education services $\rightarrow 3.333\%$
- Pan, tobacco and intoxicants $\rightarrow 2.989\%$
- Recreation, sport and culture $\rightarrow 1.516\%$

Weights indicates the relative expenditure importance of a division. They must not be confused with inflation rates. A weight of 36.753% for food does not mean that food inflation is 36.753%.

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It means that accounts for approximately that proportion of the expenditure basket.

Changes in the CPI Basket

The revised CPI basket includes several goods and services reflecting modern lifestyles and digitalisation. Important additions include:

- Rural house rent
- OTT and streaming subscriptions
- Value-added dairy products
- Barley and barley products
- Pen drives and external hard disks
- Baby sitter and attendant services
- Exercise equipment
- CNG and PNG
- E-commerce prices
- Online airfares
- Telephone and digital-service charges

Outdated or less representative items were removed including :

- VCR, VCD and DVD players
- Radio
- Tape recorders
- Second-hand clothing
- Audio-video cassettes
- Coin and rope

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These changes makes the basket more representative of current household expenditure.

→ Price Collection and Household survey

Prices are collected monthly from rural and urban markets. Online prices are generally collected more frequently. The framework includes physical rural markets, physical urban market and selected online markets.

The household consumption expenditure survey is conducted by the National statistical office. It collects information from sample households about their expenditure on food, housing, clothing, health, education, transport and other goods and services.

The survey helps determines :-

- Items to be included in the CPI basket.
- Relative importance of different items
- Expenditure weights
- Differences between rural and urban consumption.

Reference Period

A Reference Period is the period about which households are asked to report their consumption or expenditure. Under the modified Mixed Reference Period Method, different recall periods are used for different categories.

Seven-Day Reference Period

Used for frequently purchased or perishable items such as, vegetables, fruits, eggs, fish, meat, edible oil, spices, beverages and processed food.

Thirty-Day Reference Period

Used for other food items, fuel, rent, taxes, non-institutional medical treatment and miscellaneous goods and services.

365 Day Reference Period

Used for less frequently purchased items such as clothing, footwear, education, institutional medical treatment and durable goods. Shorter recall periods improve the accuracy of reporting frequent purchases, while longer periods are suitable for occasional or expensive purchases.

2. Wholesale Price Index

The wholesale price Index measures the average change over time in the prices of a representative basket of goods at the wholesale or producer level. It records price movements before goods reach final consumers and before retail margins are added. It mainly reflects the prices experienced by producers, manufacturers, bulk purchasers, wholesalers and businesses buying goods as inputs. Unlike CPI, WPI principally measures the prices of goods and commodities. Services are not included in the main WPI basket.

WPI series with the base year 2022-23 = 100 was introduced

in June 2026, replacing the earlier 2011-12 series

Main Groups of WPI

The WPI basket is divided into three major groups

1. Primary Articles
2. Fuel and Power
3. Manufactured Products

Major Group Weights

The major weights are :

Manufactured Products $\rightarrow 63.12\%$

Primary Articles $\rightarrow 22.75\%$

Fuel and Power $\rightarrow 14.11\%$

Manufactured Products has the highest weight and therefore generally has the largest influence on overall WPI movements.

1. Primary Articles

Primary articles have a combined weight of approximately $22.75-30\%$. They are divided into :

Food Articles include cereals, pulses, vegetables, fruit, milk, eggs, meat and fish.

Non-Food Articles include oilseeds, fibers, raw cotton, raw jute, flowers, fodder and agriculture raw materials.

Minerals include metallic and non-metallic minerals.

2. Fuel and power

Fuel and power has a combined weight of approximately 14.11433%. Its components include:

- Mineral oils
- Electricity
- Coal and lignite
- Crude petroleum and natural gas

3. Manufactured Products

Manufactured Products have the highest WPI weight, approximately 63.12837%.

Important manufacturing groups include:

- Food products
- Basic meals
- Chemicals and chemical products
- Motor vehicles and trailers
- Fabricated metal products
- Textiles
- Machinery and equipment
- Non-metallic mineral products
- Rubber and plastics products
- Electrical equipment
- Pharmaceutical products
- Computer, electronic and optical products
- Furniture
- Beverages
- Paper product
- Tobacco products

Among these, the manufacture of food products carries the highest individual manufacturing group weight, followed by basic metals and chemical products.

Differences Between CPI and WPI

Basis / No.	Consumer Price Index (CPI)	Wholesale Price Index (WPI)
1. Meaning	CPI measures the average change in the retail prices of goods and services purchased by households.	WPI measures the average change in the prices of goods transacted at the wholesale or producer stage.
2. Stage of measurement	Prices are measured at the final consumer or retail stage.	Prices are measured at an earlier wholesale or production stage.
3. Whose prices are represented?	It represents prices paid by household and individual consumers.	It mainly represents prices relevant to producers, manufacturers, wholesalers and bulk purchases.
4. Coverage	CPI includes goods as well as services consumed by households.	WPI covers goods and commodities only.
5. Treatment of services	Services such as health, education, transport, communication,	Services are not included in WPI. They are measured

tion and housing are included.

separately through Service Producers Price Indices.

6. Compiling authority

CPI is compiled by the price Statistics Divisions of the National Statistical office - NSO

WPI is compiled and released by the office of the Economic Adviser.

7. Department and ministry

NSO functions under the ministry of Statistics and Programme Implementation - MoSPI.

The office of the Economic Adviser functions under the Department for Promotion of Industry and Internal Trade - DPIIT, Ministry of Commerce and Industry.

8. Current official base year

The officially listed current CPI base is 2012 = 100

The current WPI base is 2022-23 = 100. The new WPI series became effective in June 2026.

9. No. of items included

The current official CPI covers approximately 358 items, including goods and services. The exact number may differ slightly between markets and villages.

The new WPI contains 957 items all of which are goods or commodities. The previous WPI series contained 697 items.

10. Basis of weights

CPI weights are based on house hold consumption expenditure obtained from consumer expenditure surveys.

WPI weights are based on the Gross value of output - GVO of domestically produced commodities.

11. Main classification	The current CPI series is arranged into six principal consumption groups, with further subgroups for different goods and service.	WPI is divided into four major groups: Primary Articles, Fuel and Power, and Manufactured Products.
12. Highest-weighted Category	In the current official CPI Combined series, Food and Beverages.	Manufactured Products is the highest WPI weight.
13. Geographical presentation	CPI is published separately for Rural, Urban and Combined sector and also provides state and Union Territory indices.	WPI is mainly published as an all-India composite index. It is not divided into rural and urban indices.
14. Major Use	CPI measures retail inflation, changes in the cost of living and purchasing power. It is used for inflation targeting and revision of wages, pensions and dearness allowance.	WPI measures wholesale production-stage inflation. It is used to study supply-side prices pressures and as a deflator in economic and national-income calculations.